

BARBER REPUBLIC

Founder Capital, Dilution and Expansion Decision Map

A practical framework for the pre-seed, seed, Series A and Series B decisions ahead

Designed to educate the decisions without quietly making them for the founders.

Prepared for Johnny Barber, John Webb and Shane McCarthy

Internal discussion document. Not an investor offer, term sheet, valuation opinion or legal advice.

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How to use this document

This is an internal founder education and decision document. It is built around Barber Republic's actual product scope, market entry plan and wider platform potential. It is not a term sheet and it does not prescribe a final valuation, equity percentage or funding route.

The central position

The first capital is intended to build and launch a minimal testable product. Its job is to produce evidence. That evidence should improve the company's choices, valuation and negotiating position before the next round.

- **The document explains** what each round is for and what evidence should unlock it.
- **It presents two options** at every funding stage so the trade-offs can be understood.
- **It models dilution** without pretending that the current cap table or future valuations are already known.
- **It connects capital to strategy** through three routes: Barbering First, Controlled Vertical Expansion and Accelerated Platform Strategy.
- **It preserves founder ownership of the decisions** while making the likely investor negotiation dynamics visible.

1. Barber Republic's position today

The current build scope describes more than a booking application. It describes the first deployment of a verified labour marketplace.

Layer	What the scope establishes
Initial market	Barbers and barber shops, beginning with a concentrated London pilot.
Core transaction	Verified profiles, tiering, availability, requirements, matching, booking, payment and mutual ratings.
Operating system	An operator console for users, verifications, disputes, transactions, metrics and matching rules.
Evidence engine	A record of rates, reliability, demand, geography, completed work and repeat relationships.
Wider opportunity	An underlying engine that may later travel into hairdressing, hospitality, bar and floor staffing, events and other labour markets.

Minimal testable product, not finished company

The current 12 to 14 week build is intended to create a pilot-ready system that can test the full transaction loop. The success measure is not simply that software exists. It is whether real shops and barbers use it, transact through it, return to it and create reliable market evidence.

A cap table point that must be clarified

The build scope records a proposed **10% equity allocation to Shane and John, vesting against delivery milestones, with the exact allocation between them still to be agreed**. Before an investor percentage is negotiated, the founders should confirm whether that 10% is combined, whether it is calculated before or after the new investment, what the vesting conditions are and whether the arrangement has been formally approved and documented.

Why this matters

An investor percentage cannot be assessed accurately until the existing and proposed ownership is visible. The PDFs therefore use a 100-unit teaching model and do not claim to represent the actual Barber Republic cap table.

2. The funding journey and the two choices at every round

Funding labels matter less than the evidence and capability created. The working sequence below is personalised to Barber Republic, while recognising that real rounds can be named differently and may use different instruments.

Pre-seed: fund the test

Question	Option 1: Focused MTP	Option 2: MTP plus runway
Illustrative capital envelope	Approximately £50,000.	Approximately £100,000 to £150,000, potentially through more than one investor.
Illustrative dilution discussion	Founder target may be 5% to 10%. Edward may ask for more. The founders decide their ceiling.	A wider 10% to 15% discussion may arise because more capital and runway are being purchased.
What it funds	The 12 to 14 week build and tightly controlled London pilot.	Build, pilot recruitment, launch operations, iteration and a defined post-launch runway.
What must be proved	Real onboarding, completed matches, payments, ratings, repeat use and early marketplace density.	The same core proof, plus evidence that acquisition, support and iteration can be operated after launch.
Main advantage	Lower dilution and a clear, disciplined test.	Less immediate pressure to raise again and more capacity to learn after launch.
Main risk	A successful build may still leave the company underfunded for activation and post-launch iteration.	More equity may be surrendered before the evidence has raised the company's value.
Founder decision	Is £50,000 genuinely enough to reach the next investable evidence gate?	Is the additional runway worth the additional dilution and investor complexity?

Negotiation reality

The preferred founder position can be a maximum of 10% for £50,000 without assuming that an investor will accept it. The investor may seek a larger percentage, stronger rights or another investor to share the risk. Those are negotiation positions, not decisions already made.

Seed: prove repeatability and choose the expansion sequence

Question	Option 1: Barbering density	Option 2: Barbering plus one adjacent vertical
Illustrative capital envelope	Approximately £500,000 to £750,000.	Approximately £1 million to £1.5 million.
Illustrative dilution discussion	Often a negotiation in the broad region of 18% to 25%, subject to evidence, valuation and terms.	A broader 20% to 30% discussion may arise because the company is funding two market motions and a larger team.

Question	Option 1: Barbering density	Option 2: Barbering plus one adjacent vertical
What it funds	Density across London and selected UK cities, operational capability and stronger marketplace economics.	Barbering scale plus a controlled pilot in one adjacent labour market.
What must be proved	A repeatable method for entering an area, creating liquidity, completing transactions and retaining both sides.	The barbering model remains healthy and the underlying engine works in a second vertical without weakening the first.
Main advantage	Focus, clearer learning and a stronger chance of category leadership in barbering.	Earlier proof that the company is a transferable labour platform rather than a single-sector product.
Main risk	The wider platform thesis remains unproven for longer.	More capital, operational complexity and risk of splitting attention too early.
Founder decision	Is Barber Republic's best next value step deeper category dominance?	Is early transferability evidence strategically valuable enough to justify the additional capital and complexity?

Series A: scale the strongest proven engine

Question	Option 1: Category leader	Option 2: Multi-vertical platform
Illustrative capital envelope	Approximately £3 million to £5 million.	Approximately £5 million to £8 million.
Illustrative dilution discussion	A broad 18% to 25% discussion may be expected, but evidence and competition for the round matter.	A broad 20% to 30% discussion may arise where the company needs greater operating and technology capacity.
What it funds	National barbering expansion, stronger teams, technology, data and city-by-city rollout.	Scaling the proven barbering engine and one or more validated adjacent verticals across multiple cities.
What must be proved	Reliable acquisition, retention, unit economics, market entry and revenue growth.	Repeatable economics in more than one vertical, with shared infrastructure and no loss of service quality.
Main advantage	A concentrated category leadership story with clearer operating control.	A materially larger market and stronger platform proposition.
Main risk	The company may become strongly associated with one vertical.	Complexity, governance and capital requirements increase quickly.
Founder decision	Does category dominance create the strongest valuation and defensibility?	Has the evidence earned the right to scale a multi-vertical platform now?

Series B: accelerate a business that already works

Question	Option 1: Geographic acceleration	Option 2: Platform consolidation
Illustrative capital envelope	Approximately £10 million to £15 million.	Approximately £15 million to £30 million or more, depending on acquisition and market plans.
Illustrative dilution discussion	A broad 15% to 25% discussion may arise.	A broad 20% to 30% discussion may arise where the raise funds acquisitions or rapid multi-market expansion.
What it funds	International entry, infrastructure, market leadership and continued product intelligence.	Acquisitions, category consolidation, enterprise partnerships and rapid expansion across markets or verticals.

Question	Option 1: Geographic acceleration	Option 2: Platform consolidation
What must be proved	The company can reproduce its economics across locations and manage larger operational scale.	The multi-vertical engine is proven and the company can integrate acquisitions or strategic distribution.
Main advantage	A disciplined extension of a proven playbook.	The potential to become a defining verified labour marketplace.
Main risk	International expansion can still consume capital without local density.	Execution, integration and governance risk become significantly larger.
Founder decision	Is geography the clearest route to compounding value?	Is consolidation or category expansion the better use of capital than organic growth alone?

Important limitation on the figures

The capital and dilution bands above are teaching scenarios, not Barber Republic valuations or forecasts. The real numbers must be built from the operating plan, evidence, runway, investor demand, current cap table and legal terms. A smaller percentage can still be a worse deal if the attached rights are heavy.

3. Three strategic capital pathways

The round options connect into three coherent company strategies. Johnny and John do not need to make an irreversible choice now. They do need to know which route is currently preferred, what evidence would justify changing route and which investor terms could block that flexibility.

Stage	Plan A: Barbering First	Plan B: Controlled Vertical Expansion	Plan C: Accelerated Platform Strategy
Pre-seed	Prove the full barbering transaction loop in one London cluster.	Prove the full barbering transaction loop in one London cluster.	Prove barbering as the first use case while preserving a clearly transferable technical and data architecture.
Seed	Create density across London and selected UK cities.	Scale barbering while running one controlled adjacent-vertical pilot.	Scale barbering and deliberately establish the company as a wider verified labour marketplace.
Series A	Enter one or two adjacent verticals after barbering is repeatable.	Scale the strongest sectors and locations based on evidence.	Scale a multi-vertical platform across several sectors and locations.
Series B	Scale the proven multi-vertical company nationally or internationally.	Expand the wider platform nationally or internationally.	Accelerate through international expansion, partnerships, acquisitions or category consolidation.
Core strength	Focus and category depth.	Balance between focus and transferability.	Larger platform proposition earlier.
Core risk	Transferability is proved later.	Two market motions can strain a young team.	Capital and organisational complexity rise quickly.

Evidence gates that should change the route

- Marketplace density is strong enough that a new location can be activated predictably.
- Repeat booking and retention show that the platform is becoming behaviour, not novelty.
- Matching quality, fulfilment and ratings remain reliable as volume increases.
- The revenue model and transaction economics support continued growth.
- A second vertical shows the same problem, willingness to transact and repeat behaviour.

- The shared technology and data model reduce the cost of entering the second vertical.
- The leadership and operating team can support greater complexity without weakening the core market.

4. Dilution: how one decision compounds through later rounds

Dilution is the reduction in an existing shareholder's percentage when new shares are issued. It is multiplicative. A holder does not lose the same fixed number of percentage points at each round. Their current percentage is multiplied by the percentage of the company left after each new issue.

Simple formula

Existing holding after a round = existing holding before the round $\times$ (1 – percentage sold in the new round).

Stage	Scenario 1: Controlled dilution	Scenario 2: Heavier dilution
Starting cap table holders	100.0%	100.0%
After pre-seed	90.0% after selling 10%	80.0% after selling 20%
After seed	72.0% after selling a further 20%	60.0% after selling a further 25%
After a 10% option pool	64.8%	54.0%
After Series A	51.8% after selling a further 20%	40.5% after selling a further 25%
After Series B	41.5% after selling a further 20%	30.4% after selling a further 25%

These percentages represent the combined holders who existed before the pre-seed round. They do not include any personal allocation assumptions. The option pool is shown separately because hiring equity is another real source of dilution.

What happens to Edward's percentage if he does not invest again

Stage	If Edward begins at 10%	If Edward begins at 20%
Immediately after pre-seed	10.00%	20.00%
After seed	8.00% if the seed round sells 20%	15.00% if the seed round sells 25%
After a 10% option pool	7.20%	13.50%
After Series A	5.76% if Series A sells 20%	10.13% if Series A sells 25%
After Series B	4.61% if Series B sells 20%	7.59% if Series B sells 25%

Follow-on capital is the price of maintaining a percentage

A pro rata right gives an investor the opportunity to invest more money to preserve their percentage. It does not preserve the percentage for free. If Edward does not invest in later rounds, normal dilution reduces his holding along with every other existing holder.

5. Future investment rights: the choices

Position	What it means	Founder benefit	Founder cost or risk
No special right	Edward may be invited to future rounds but has no guaranteed allocation beyond any rights that apply under the company's law and constitutional documents.	Maximum freedom to select later investors.	Edward may view the first round as less strategically attractive.
First-look opportunity	Edward is given an early conversation or notice about the next round, without a guaranteed allocation.	Maintains the relationship without reserving part of the round.	The wording must not become informal exclusivity or a delay mechanism.
Pro rata participation	Edward can invest enough to maintain his percentage, subject to the agreed documents and round terms.	A familiar investor can continue supporting the company.	Part of a later round may be reserved before new strategic investors are selected.
Broader follow-on right	Edward receives participation rights across several future rounds or a right to increase his position.	Potential continuity of capital.	Can constrain allocations, negotiating flexibility and the ability to choose stronger investors later.

Legal note: existing shareholder pre-emption rights and any ability to disapply or modify them depend on the company's jurisdiction, articles and transaction documents. A solicitor should confirm the actual position before terms are offered.

6. Investment structure: percentage is not the whole deal

Structure	What is agreed now	When it can help	What must be watched
Priced equity round	A valuation, share price, investor percentage and attached shareholder rights.	When the parties are ready to agree the company's current value and governance terms.	Headline percentage, preference rights, consents, information, board rights, warranties and future participation.
Convertible or advance subscription structure	Capital is provided now and converts into shares later under agreed triggers, often with a cap, discount or long-stop date.	When speed matters and the founders want to defer a full valuation discussion.	Conversion maths, valuation cap, discount, maturity or long-stop, investor rights before conversion and the risk of hidden future dilution.
Milestone tranches	The commitment is divided into payments released against objective milestones.	When both sides need protection around delivery and risk.	Milestones must be measurable, time-bounded and not controlled solely by the investor's opinion.

A clean percentage can hide expensive terms

The founders must assess the economic interest, governance rights, reporting burden, future-round rights, downside protection and restrictions together. A lower percentage with heavy control can be worse than a slightly higher percentage on clean terms.

7. The negotiation game at each stage

Investors and founders enter the same negotiation with different incentives. Understanding that does not make either side difficult. It allows the founders to negotiate deliberately rather than reactively.

Investor may seek	Founder should understand and decide
More equity or a lower valuation	The maximum dilution that remains acceptable after modelling later rounds.
More downside protection	Which protections are proportionate and which materially distort the founder outcome.
More reporting and visibility	What information is useful, how often it is supplied and whether it is information only.
A board or observer role	Whether the cheque and strategic contribution justify governance access at this stage.
Future participation or pre-emption rights	How much of later rounds should be reserved and when those rights end.
Exclusivity, timetable influence or milestones	Whether the terms improve certainty or create an open-ended ability to slow the company.
Another investor to reduce personal risk	Whether a second investor improves the round, changes dilution or duplicates rights.

8. Decisions Johnny and John should own before the next investor discussion

1. Confirm the actual and proposed cap table, including the 10% milestone-based allocation recorded in the build scope.
2. Confirm the minimum capital required to build, activate and test the minimal testable product.
3. Decide whether the current raise is the focused £50,000 test or a larger test-plus-runway round.
4. Set a preferred pre-seed dilution position and an absolute ceiling, understanding that Edward may negotiate above it.
5. Choose the currently preferred strategic pathway: Plan A, Plan B or Plan C.
6. Define the evidence that must exist before moving to seed.
7. Decide whether the next major value step is barbering density, geographic expansion or controlled vertical transferability.
8. Decide whether Edward receives no special follow-on right, a first-look opportunity, pro rata participation or broader rights.
9. Choose the investment structure to take to legal advice rather than accepting an investor-defined structure by default.
10. Identify which economic and governance terms are negotiable and which would compromise founder control or future fundraising.
11. Agree who leads the investor meeting and who answers the market, financial and technology questions.
12. Do not agree a material term on a call until its effect on the cap table, future rounds and expansion options is understood.

Output of the founder conversation

The goal is not to settle Edward's deal in one internal call. The goal is to leave with a founder-owned position, a list of decisions still open and a clear process for reaching terms.

Sources and basis

Company-specific basis

- Barber Republic Build Scope, five pages, including the London pilot, product modules, 12 to 14 week delivery plan, £42,000 to £50,000 build budget, proposed 10% milestone-based equity allocation to Shane and John, and the wider verified labour marketplace opportunity.
- Founder discussion between Shane McCarthy and ChatGPT on 3 August 2026. The discussion points attributed to Edward are treated as topics raised on a call, not as agreed demands or final terms.

External reference points

- [British Business Bank, “A guide to equity funding stages for your business”](#)
- [British Business Bank, Small Business Equity Tracker 2026](#)
- [Carta, State of Private Markets: Q1 2025](#)
- [Carta, 2025 seed dilution analysis](#)
- [UK Private Capital, 2025 Model Documents for Early Stage Investments](#)
- [Companies Act 2006, section 561, existing shareholders' right of pre-emption](#)

The external figures are context only. Carta data is predominantly US private-market data and is not a valuation benchmark for Barber Republic. UK market conditions also remain selective: the British Business Bank reported that UK seed-stage deal numbers fell in 2025 even as AI captured a record share of smaller-business equity investment.

Professional advice

This document supports founder understanding and internal decision-making. It is not legal, tax, accounting, valuation or investment advice. Any proposed term sheet, share issue, convertible instrument, vesting arrangement, option pool or investor right should be reviewed by appropriately qualified advisers in the company's jurisdiction.